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promoting foreign trade of India. The main objective of EXIM bank is to co-ordinate the various activities of institutions and bank engaged in financing foreign trade.

Main Functions of EXIM Bank

Main functions of EXIM bank are listed below

1. It provides direct financial assistance to exporters of plant, machinery, and related services.
2. It underwrites the shares, debentures and bonds of the companies engaged in exports
3. It provides re-discount facility in respect of export bills for a period not exceeding 90 days against short-term export bill discounted by commercial bank.
4. It gives overseas buyer credit to foreign exporters for the import of Indian capital goods which are used for manufacturing export products.
5. It finances export- oriented industries.
6. It collects and provides market and credit information about foreign trade to those engaged in international business.

Role of Commercial Bank in International Business

Commercial banks provide financial assistance in two ways, namely, pre-shipment financial assistance and post-shipment financial assistance.

Pre-Shipment Financial Assistance.

This is the type of assistance given to enable exporters to purchase raw materials process them and create finished goods for the purpose of export. This credit is given on the basis of exports orders and letter of credit opened in favour of overseas buyer

Post-Shipment Financial Assistance.

Post-shipment financial assistance is an assistance granted in the form of advances on the basis of bills of exchange and shipping documents drawn under letters of credit. This type of export finance is granted right from the date of shipment of the goods to date of realization collection of export proceeds for the purpose meeting capital need, paying insurance charges. ECGC premium commission and brokerage to agent export promotion expenses and so on and so forth.

Objectives of Export Trade

The important objectives of the export include the following.

1. Facilitating selling of goods to countries which desperately need such goods
2. Expanding the market for goods by producing them on a large scale.
3. Earning foreign exchange through exports
4. Helping a country increase the national income
5. Creating employment opportunity in a country by promoting of export - oriented and export related enterprises.
6. Generating revenue for the Government in the form of customs and excise duties.
7. Promoting mutual understanding and co-operation among the nations.
8. Achieving optimum utilization of